Project Report

SAP DATA/Analytics Engineer

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SAP Program B6_IE

Problem Statement

Using SAP ERP, create and set up a fake company that focuses on the FI (Financial Accounting), MM (Materials Management), and SD (Sales and Distribution) modules. This should include setting up the organization, the flow of processes, and how the modules work together. Make a structured plan for how to implement the project and send it in as a project report.

1. Company Overview

Company Name: Reliance Retail Limited *(used as a realistic enterprise model)*
Industry: Retail & Supply Chain
Head Office: Mumbai, India

Business Description:

Reliance Retail Limited is one of India's largest retail companies, dealing in consumer goods, electronics, and grocery distribution. The company manages procurement, inventory, and sales across multiple locations, ensuring efficient supply chain and financial management.

2. Organizational Structure Design

2.1 FI (Financial Accounting)

- Company Code: RR01
- Chart of Accounts: RRCOA
- Fiscal Year Variant: K4
- Currency: INR

2.2 MM (Materials Management)

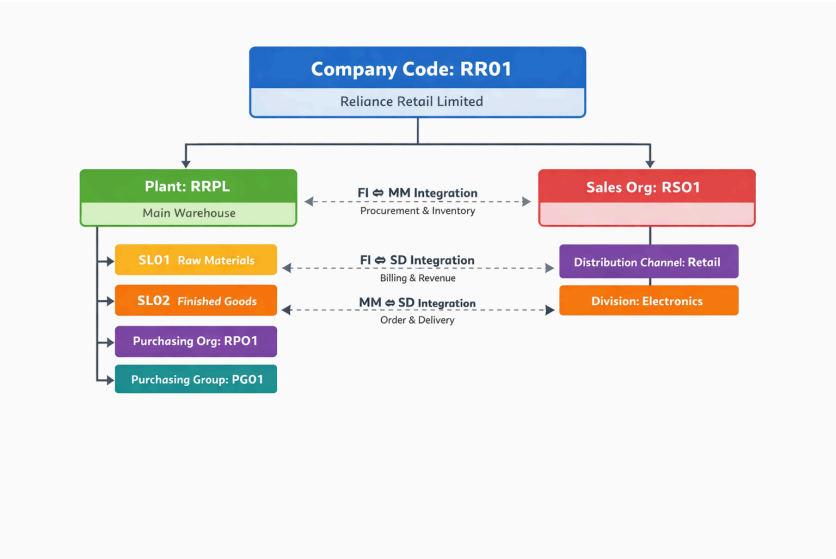
- Plant: RRPL (Main Warehouse Plant)
- Storage Location:
    - SL01 (Raw Materials)
    - SL02 (Finished Goods)
- Purchasing Organization: RPO1
- Purchasing Group: PG01

2.3 SD (Sales and Distribution)

- Sales Organization: RSO1

- Distribution Channel: Retail
- Division: Electronics
- Sales Area: RSO1 / Retail / Electronics

3. Organizational Structure Diagram



4. SAP Customization Steps

4.1 FI Configuration

1. Define Company Code
   → SPRO → Enterprise Structure → Definition → Financial Accounting
2. Assign Company Code to Company
3. Define Chart of Accounts
4. Create G/L Accounts
5. Configure:
   - Posting Period Variant
   - Fiscal Year Variant
   - Field Status Variant
6. Configure Accounts Payable (Vendors)
7. Configure Accounts Receivable (Customers)

4.2 MM Configuration

1. Define Plant
2. Define Storage Location
3. Assign Plant to Company Code

4. Define Purchasing Organization
5. Assign Purchasing Org to Plant
6. Create Material Master
7. Configure Procurement Process:
    - Purchase Requisition
    - Purchase Order
    - Goods Receipt
    - Invoice Verification

4.3 SD Configuration

1. Define Sales Organization
2. Define Distribution Channel
3. Define Division
4. Assign Sales Org to Company Code
5. Create Sales Area
6. Create Customer Master Data
7. Configure Sales Process:
    - Inquiry
    - Quotation
    - Sales Order
    - Delivery
    - Billing
8. Configure Pricing Procedure

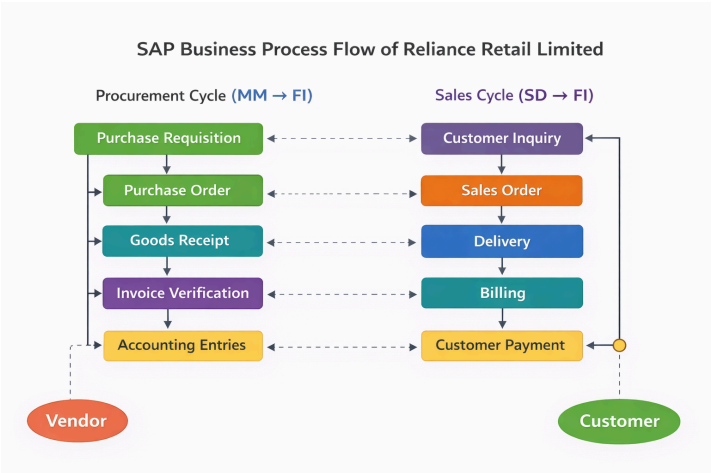
5. Integration Between Modules

- **FI + MM:** Automatic accounting entries during Goods Receipt and Invoice
- **FI + SD:** Revenue posting during billing and customer payments
- **MM + SD:** Material availability check and delivery processing

6. Business Process Flow

Procurement Cycle (MM → FI):Purchase Requisition → Purchase Order → Goods Receipt → Invoice

Sales Cycle (SD → FI):Customer Inquiry → Sales Order → Delivery → Billing → Payment



7. Detailed Flow Explanation

1. Materials are procured from vendors (MM)
2. Goods Receipt updates inventory and FI accounts
3. Customers place orders (SD)
4. System checks material availability (MM)
5. Goods are delivered to customer
6. Billing is generated (SD → FI)
7. Payment is received and recorded in FI

8. Proposed Solution & Features

The suggested solution is to use SAP ERP with the FI, MM, and SD modules to better manage sales, purchases, and financial transactions. The system makes sure that all departments can work together without any problems, which allows for real-time data flow and better decision-making.

Key Features:

- **Automated Financial Accounting**
- **Efficient Procurement Management**
- **Real-time Inventory Tracking**
- **Integrated Sales and Billing System**
- **Seamless Data Flow Across Modules**

9. Technologies Used

- **SAP ERP:**The main business system that connects all of a company's processes into one place.
- **SAP FI Module:**Manages all of the company's financial records, such as the general ledger, accounts payable, and accounts receivable.
- **SAP MM Module:**Oversees buying, managing materials, and keeping track of inventory.
- **SAP SD Module:**Helps with sales tasks like managing orders, shipping, and billing.
- **SAP GUI:**The user interface that people used to get to SAP ERP and set up and do transactions.

10. Unique Points

- **End-to-End Business Integration**
- **Real-time Financial Updates**
- **Centralized Data Management**
- **Improved Operational Efficiency**

11. Future Improvements

- **Migration to SAP S/4HANA:**Upgrading to a next-generation ERP system for faster processing and advanced capabilities.
- **AI-based Demand Forecasting:**Using artificial intelligence to predict customer demand and optimize inventory levels.
- **Cloud ERP Deployment:**Hosting the system on the cloud for better scalability, flexibility, and remote access.
- **Advanced Analytics Dashboards:**Implementing real-time dashboards for better business insights and decision-making.

12. Conclusion

This project shows how to set up SAP ERP in a structured way for a retail business using the FI, MM, and SD modules. The system does a good job of bringing together sales, procurement, and financial management into one platform.

With this implementation, the company can get accurate financial reports, handle materials more efficiently, and make sales processes easier. The integration of modules makes sure that data is always up to date and cuts down on the need for manual work, which makes operations run more smoothly.